to redeem the economy from deflationary situation.

Disinflation

The rate of inflation at a slower rate is called disinflation. For example, if the inflation of last month was 6 per cent and rate of inflation in the current month is 5 per cent it is termed as disinflation.

A Comprehensive Picture

The figure 10.2 in the previous page depicts the various rates of price changes in the economy. From the month of April to the end of May, the economy is seen experiencing negative rate of price change. It is called deflation. From the end of May to the mid of July, the price rate is seen recovering from negative zone. It is called reflation. From the mid of July, to the end of August, the price rate is seen moving upward in the positive territory. It is called inflation. From September to the mid of October, the rate of price change is declining but still in the positive territory. It is called disinflation.

Phillips Curve

The Phillips Curve shows the relationship between rate of inflation and rate of unemployment. It shows that the relationship is negative. That is at high rate of inflation the unemployment rate is low as show in figure 10.3 below.

Figure 10.3